

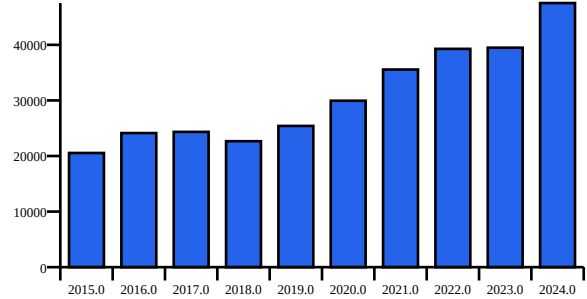
REC Ltd

RECLTD | Financials

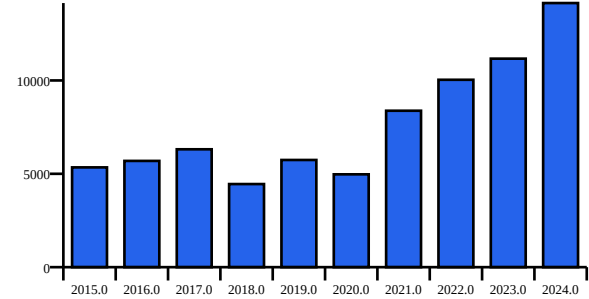
Revenue 47,517	Net Profit 14,145	ROE N/A
ROCE N/A	Debt / Equity N/A	CFO Quality -3.86

10-Year Financial Performance

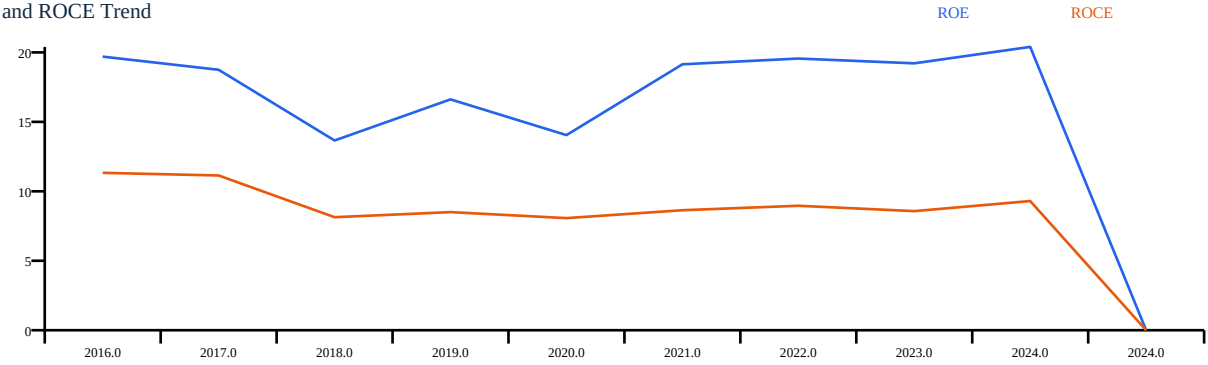
Revenue



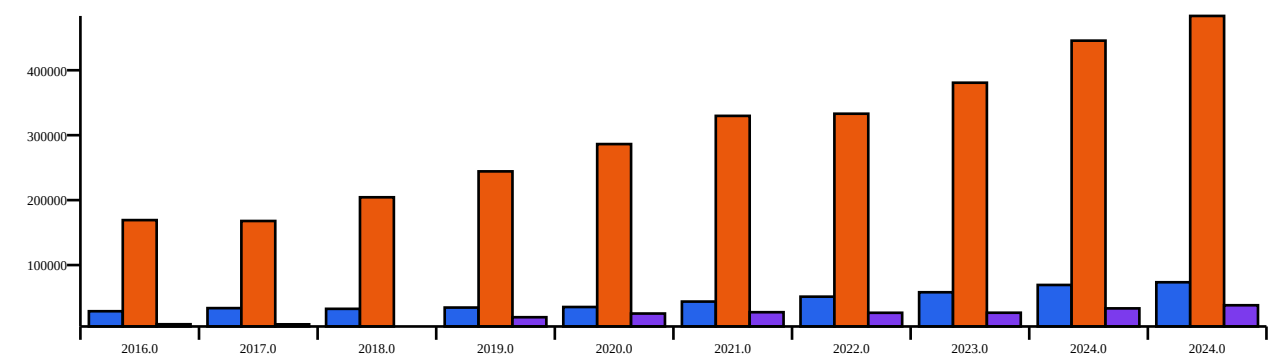
Net Profit



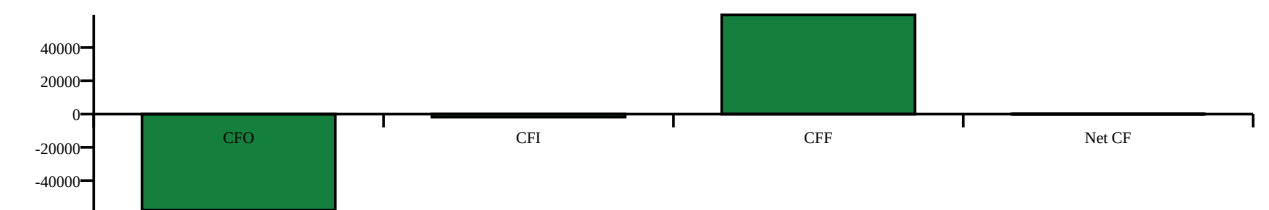
ROE and ROCE Trend



Balance Sheet Composition



Latest Year Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation

Growth Funded by Debt